

BEFORE THE
FEDERAL MARITIME
COMMISSION

DOCKET NO. 22-18

COLOR BRANDS, LLC.

COMPLAINANT,

v.

AAF LOGISTICS, INC.

RESPONDENT.

**DECLARATION WITH EXHIBITS OF DANIEL LUTZ IN SUPPORT OF COMPLAINANT'S
REQUEST FOR JUDGMENT**

I, Daniel Lutz, declare:

1. I am the Chief Operating Officer of Color Brands, LLC ("Color Brands") which is the Complainant in this matter. I am over the age of 18 years and make the following declaration upon my personal knowledge and upon the books and records of Color Brands over which I am a custodian. I submit this declaration in support of Color Brands' request for entry of a quantified judgment against Respondent. I would give competent testimony to the following if called upon to do so.
2. As the Chief Operating Officer, I am responsible for the day-to-day operations of Color Brands, including overseeing acquisition and distribution of products (soft drinks), finances, vendor relations and accounts payable and receivable.

3. For the three-year period between August 30, 2019, and August 30, 2022, inclusive, Color Brands paid AAF (Respondent) for cargo insurance for 1,221 shipments.
4. Exhibit 1 is a true and correct copy of Color Brands' spreadsheet that identifies the shipments with Respondent for the three period referenced above.
5. Color Brands paid Respondent for cargo insurance on all of Color Brands' shipments. Over the referenced period of time, Complainant's stated shipment values totaled \$36,104,153.77. For the 1,221 shipments identified in the attached spreadsheet (Exhibit 1), Color Brands paid \$115,533.29 to Respondent for insurance against shipment values totaling \$36,104,153.77.
6. Respondent charged Color Brands for insurance coverage at the average rate of .032% of the shipment value of each of Color Brands' shipments.
7. Except for three occasions referenced below, AAF did not provide proof of insurance despite request and ultimately admitted it did not procure cargo insurance for Color Brands shipments.
8. By way of example, Exhibit 2 are true and correct copies of AAF's Invoice I1909095 dated September 9, 2019 (for ocean freight, documentation and cargo insurance) and redacted proof of Color Brands' ACH payment therefore.
9. Exhibit 3 are true and correct copies of AAF's Invoice I2007047 dated July 16, 2020 (for ocean freight, documentation and cargo insurance) and proof of Color Brand's ACH payment therefore.
10. Exhibit 4 are true and correct copies of AAF's Invoice I2109072 dated September 14, 2021 (for ocean freight, documentation and cargo insurance), redacted proof of Color Brand's ACH payment therefore and the associated email to AAF showing that the redacted batch payment includes this AAF's invoice.
11. Exhibit 5 are true and correct copies of AAF's Invoice I2201018 dated January 16, 2022 (for ocean freight, documentation and cargo insurance), redacted proof of Color Brand's ACH payment therefore and the associated email showing that the redated batch payment includes this AAF invoice.

12. Exhibits 2 through 5 are examples of the repeating pattern of AAF's billings and Color Brands' payments.
13. Of the foregoing 1,221 shipments, \$115,533.29 was paid for insurance. Actual insurance was effected (based on letter of credit requirements) on three of them. (See, Complaint at ¶ 14). The insurance premium paid to Respondent for these three shipments (shipping order references 2038, 5245 and 5968) was \$ 649.00. Color Brands therefore reduces its insurance reimbursement request by \$ 649.00.
14. As a result, Color Brands' net principal damages for insurance payments on 1,218 shipments is \$114,884.29.
15. Color Brands is not requesting reimbursement for freight and document charges paid to AAF.
16. The monthly shipments over the 36-month period were approximately the same, as soft drink consumption is not seasonal for us.
17. The midway point of this three-year period is a reasoned compromise for the calculation of prejudgment interest. That date is March 2, 2021.
18. In March 2021, Color Brands did not have a credit facility. In November 2021, it did. In November 2021 Color Brands' actual borrowing rate was Prime plus 3 percent. The Prime interest rate in both March and November 2021 was 3.25%. Thus, Color Brands' estimated cost of borrowing in March 2021 was 6.25%.
19. Applying that annual simple interest rate to the net principal damages for insurance (\$114,884.29) is \$7,180.27 per annum which is \$19.67 per day.
20. March 2, 2021 to March 25, 2024 covers 1,119 days. At \$ 19.67 per day, prejudgment interest on the insurance premium aspect of the loss totals \$22,010.73.
21. Color Brands also seeks reimbursement for 15 unpaid cargo claims all with a delivery date within one year of the filing of the Complaint which was August 30, 2022.

22. As to the unpaid cargo claim submitted by Color Brands to AAF which were never paid, Exhibit 6 is a true and correct copy of Color Brands' spreadsheet that identifies those 15 cargo claims, with identifying shipment details and amounts.
23. The unpaid cargo claims total \$189,929.10.
24. By way of example, Exhibit 7 are true and correct copies claim documents regarding order 5392, including Respondent's bill of lading dated May 5, 2020, proof of delivery identifying container damage, photographic proof of damage, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.
25. Exhibit 8 are true and correct copies of claim documents regarding order 5394, including the Respondent's bill of lading dated May 21, 2021, photographs of leaking product, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.
26. Exhibit 9 are true and correct copies of claim documents regarding order 7065, including the Respondent's bill of lading dated December 19, 2021, exceptions on delivery, photographs upon delivery, the notice of claim by Complainant's customer, the Credit memo by Complainant and Complainant's claim submission email to Respondent.
27. Again, the unpaid cargo claims total \$189,929.10.
28. Color Brands seeks prejudgment interest on this aspect of its loss. The delivery dates spanned September 1, 2021 through March 12, 2022 and thus, are within one year of the filing of the Complaint.
29. The mid-point of the cargo damage claims is approximately November 20, 2021. That is the date Color Brands believes is a fair point of commencement of prejudgment interest, especially in view of the fact that simple, and not compound, interest is sought.
30. Simple interest at 6.25% per year on a principal amount of \$189,929.10 is \$11,870.57 per year. That amount is \$32.52 per day.

31. The period from November 20, 2021, to March 25, 2024, spanned 822 days. Thus, prejudgment interest totals \$26,731.44.

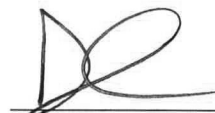
32. Therefore, as to the cargo damage portion of the damages, the principal loss, with interest is \$213,669.54.

33. Color Brands requests judgment in the total amount of \$353,555.56. This consists of principal damages of \$304,813.39, plus prejudgment interest of \$48,742.17 to March 25, 2024.

34. On March 15, 2024, I placed a copy of this declaration and its exhibits, along with the accompanying Brief into an envelope with first class postage paid. The envelope was addressed to AAF Logistics, Inc., 17700 Castleton St., Unit 363, City of Industry, CA 91748 and mailed on March 15, 2024

I declare under the penalties of perjury under the laws of the United States that the foregoing is true and correct.

Dated this 15 day of March 2024 at Chicago, Illinois.



Daniel Lutz
Chief Operating Officer of Color
Brands, LLC